Question 1

Classification of preference shares - Futuna Ltd

You are the newly appointed financial accountant of Futuna Ltd (Futuna). You are responsible for preparing the financial statements of Futuna in accordance with IFRS® Accounting Standards. Futuna has two categories of preference share in issue, details of which are included in the Appendix. Futuna does not invest in assets or provide financing as part of its main business activities.

Your assistant has provisionally classified each category of preference share as equity and has accounted for the shares accordingly.

Required:

Advise how each of the categories of preference share should be classified and advise of the impact of the classification on the financial statements. Calculations are not required.

(8 marks)

Appendix – Preference shares

Futuna has the following categories of preference share in issue:

Category	Details
1	800,000 £1 6% preference shares in issue which are redeemable at the option of the holder. There is no precedent of the holders redeeming their shares.
2	650,000 £1 preference shares which are redeemable only at the option of Futuna. The preference shares do not offer any fixed dividend but there is a precedent for the preference share dividend to be paid annually at an amount relative to the dividend paid on ordinary shares.

Question 2

Convertible instruments - Tahiti plc

You are the financial controller of Tahiti plc (Tahiti). You are responsible for preparing the financial statements for the year ended 30 September 20X5 in accordance with IFRS Accounting Standards. Tahiti does not invest in assets or provide financing as part of its main business activities.

Your assistant has been working on accounting for financial instruments and has sent you an email regarding convertible bonds, details of which are provided in the Appendix.

Required:

Advise, showing all workings, how the convertible bonds should be accounted for in the year ended 30 September 20X5.

(14 marks)

Appendix – Convertible bonds

Email

To: Financial controller

From: Accounts assistant

Re: Convertible bonds

Tahiti issued 200,000 5% convertible bonds with a nominal value of £100 each on 1 October 20X4 at par. Interest is payable annually in arrears. The bonds are due to be redeemed at par or converted at a rate of 10 ordinary shares for each £100 bond on 30 September 20X8. The market interest rate for similar bonds without conversion rights is 7%, which is also the effective rate of interest on the bonds.

I have classified these bonds as equity because they are likely to be converted to equity in the future. I recorded the nominal value received in equity on initial recognition and the bonds have been accounted for as equity during the year.

The discount factors are:

Year	5%	7%
1	0.952	0.935
2	0.907	0.873
3	0.864	0.816
4	0.823	0.763

Question 3

Equity and distributable profits - Barrow Ltd

You are the financial controller of Barrow Ltd (Barrow) and are responsible for preparing its financial statements for the year ended 31 December 20X6 in accordance with IFRS Accounting Standards and for assisting the directors in ensuring that they comply with the requirements of the Companies Act 2006. Barrow does not invest in assets or provide financing as part of its main business activities

Barrow has repurchased 400,000 of its ordinary shares during the year and, in a separate transaction, has undertaken a rights issue. Details of the share transactions are included in Appendix 1.

The directors have asked you to advise on the maximum amount that the company could distribute as dividends. They believe it is equal to the retained earnings at the point dividends are declared. Your assistant has provided relevant information in Appendix 2.

Required:

1. Prepare, showing all workings, the journal entries to account for the share repurchaseproposal.

(9 marks)

2. Prepare, showing all workings, the journal entries to account for the rights issue.

(3 marks)

3. Advise the directors of the amount of distributable profits at 31 December 20X6 and explain whether this can be distributed as dividends.

(10 marks)

Total marks (22 marks)

Appendix 1 – Share transactions

Purchase of shares

The equity balances of Barrow immediately prior to the purchase of the shares on 1 January 20X6 were as follows:

	£'000
Share capital (£0.50 ordinary shares)	2,100
Share premium	500
Revaluation surplus	320
Retained earnings	3,890
	6,810

Barrow repurchased 400,000 shares on 1 January 20X6 for £4 per share, the estimated market value at that date. The shares were originally issued at a premium of £0.70 per share.

The company funded the purchase of the shares partly through a new issue of 200,000 shares at market value, which also took place on 1 January 20X6.

Only the receipts and payments have been recorded. The corresponding entries were recorded in a suspense account.

Rights issue

On 1 December 20X6, Barrow made a one-for-four rights issue at £3.20 per share. The rights were fully taken up. Only the receipt has been recorded. The corresponding entries were recorded in a suspense account.

There had been no other share transactions between 1 January 20X6 and 1 December 20X6.

Appendix 2 – Distributable profits

- All retained earnings were distributable at 1 January 20X6.
- Barrow reported a draft profit of £1,100,000 for the year ended 31 December 20X6.
- Barrow measures its property under the revaluation model. However, it does not make transfers from revaluation surplus to retained earnings in respect of excess depreciation. At 31 December 20X6, accumulated depreciation on the revalued assets was £240,000 and accumulated depreciation would have been £100,000 on the historical cost basis.
- Included in the profit for the year is a gain of £25,000, representing the increase in fair value of a derivative for which there is a readily available market.
- In March 20X6, Barrow sold electrical goods to a customer in exchange for machine tools. As the fair value of the machine tools exceeded the cost of the electrical goods, a £50,000 gain was included in profit for the year.

Question 4

Distributable profits - PetsRUs Enterprises plc

You are the financial controller of PetsRUs Enterprises plc (PetsRUs), a company that operates pet supply stores. Today, you must calculate distributable profits in accordance with the Companies Act 2006.

Information relevant to distributable profits is included in the Appendix.

Required:

Calculate, showing all workings, the total distributable profits of PetsRUs at 31 December 20X7.

(6 marks)

Appendix – Information relevant to distributable profits

- At 31 December 20X6, PetsRUs had £48,622,000 of distributable profits within retained earnings.
- Profit for the year ended 31 December 20X7 was £16,290,000.
- PetsRUs paid dividends on 30 June 20X7 and 31 December 20X7 of £1,200,000 and £2,400,000 respectively.
- Foreign exchange gains of £778,000 were generated from the retranslation of trade receivables balances.
- PetsRUs measures land and buildings on the revaluation model but does not make annual transfers from the revaluation surplus to retained earnings. At 31 December 20X6, accumulated depreciation on revalued assets was £5,500,000 and would have been £2,600,000 under the historical cost model.
- The annual depreciation charge for land and buildings for the year ended 31 December 20X7 was £548,000 and would have been £526,000 under the historical cost model.
- A building with a carrying amount of £2,100,000 and related revaluation surplus of £330,000 was sold for £2,400,000.
- An investment property with a carrying amount of £3,000,000 at 31 December 20X6 was valued at a fair value of £3,600,000 on 31 December 20X7.
- During the year, PetsRUs exchanged excess pet food with one of its suppliers in France for cleaning equipment that will be used in some of its stores. The pet food had originally cost PetsRUs £130,000 and the cleaning equipment would have cost £170,000 if it had been paid for in cash.

Question 5

Classification of financial instruments - Willow plc

You are the financial controller of Willow plc (Willow) and have recently appointed a new financial accountant. Willow prepares its financial statements in accordance with IFRS Accounting Standards. Willow does not invest in assets or provide financing as part of its main business activities.

Willow has entered into two financial instrument transactions during the year ended 31 May 20X3. Relevant information is in the Appendix.

You are required to determine the appropriate classification for each of the financial instruments before the new financial accountant can correctly account for them. You should identify any instruments for which an alternative classification may be adopted.

Required:

Advise how each of the financial instruments should be classified, including where alternative classifications may be adopted.

(5 marks)

Appendix – Financial instruments entered into during the year

Investment in shares of Tree plc

On 2 December 20X2, Willow acquired 100,000 shares in Tree plc (Tree) for £3 per share. The investment represented approximately 1% of Tree's ordinary shares. Willow intends to hold these shares with a view to increasing its interest in Tree in future years.

Investment in debentures issued by Bay plc

On 1 March 20X3, Willow invested in 200,000 5% debentures 20X8, which were issued by Bay plc (Bay). Willow plans to sell the debentures in the future to realise the cash needed to make different investments.

Question 6

Arch Windows plc

You are the financial controller of Arch Windows plc (Arch). You are preparing the Arch financial statements for the year ended 31 December 20X3, in accordance with IFRS Accounting Standards. Arch does not invest in assets or provide financing as part of its main business activities.

You must account for various financial assets which the company held at 1 January 20X3 and which the company entered into during the year. Details of these financial instruments are included in the Appendix.

Required:

Advise how the financial instruments in the Appendix should be accounted for in Arch's financial statements for the year ended 31 December 20X3 and prepare, showing all workings, any journal entries necessary.

(31 marks)

Appendix – Financial assets

Loan to supplier

On 1 July 20X3, Arch made a loan of £560,000 to one of its suppliers. Interest of 2.5% per annum is due annually on 30 June. The repayment that Arch intends to collect on 30 June 20X6 is £650,000. The effective rate of interest is approximately 7.48% per annum.

The loan has been recorded as a trade receivable. No other accounting entries have been made at the year end. At both 1 July 20X3 and 31 December 20X3, the probability of a default in the next 12 months was deemed to be negligible and so no loss allowance is required.

Investment in shares – Triangle and Hexagon

On 14 December 20X3, Arch acquired the following shares:

Company	Shares 000	Cost per share £	Transaction costs £'000
Triangular Tables (Triangle)	200	4.00	8
Hexagonal Hats (Hexagon)	100	3.50	4

Neither investment represented more than 1% of the company's ordinary shares.

No entries have been made in Arch's nominal ledger for either investment as the payments were not due until January 20X4.

The market value of Triangle's shares at 31 December 20X3 has fallen to £3.80 per share. Selling costs are estimated at 0.5% of sales proceeds. The market value of Hexagon's shares at 31 December 20X3 is £3.54 per share. Arch has elected to classify both investments as fair value through other comprehensive income.

Option

Arch acquired an option to purchase foreign currency at 1 January 20X3. There was no initial cost for the option but transaction costs of £5,000 were incurred, which have been recorded as a financial asset. The option was in the money at 31 December 20X3 and had a fair value of £50,000 at that date. The option was not a part of a hedging relationship and the only adjustment made has been the recording of the initial transaction costs.

Investment in debentures

Arch acquired 3,000,000 £1 4% debentures 20X8 on 1 January 20X2 at a discount of 20%. Interest of 4% is payable annually and the effective rate of interest is approximately 6.8%. Arch intends to sell the debentures before their maturity on 31 December 20X8. The fair value of the debentures was £2.6m on 31 December 20X2 and £2.5m on 31 December 20X3. Interest received in the year has been accounted for correctly.

Question 7

Financial assets - Gemini Ltd

You are the financial controller of Gemini Ltd (Gemini) and are responsible for preparing the financial statements for the year ended 30 September 20X9 in accordance with IFRS Accounting Standards. Gemini does not invest in assets or provide financing as part of its main business activities.

You are finalising the accounting for Gemini's financial assets. Relevant information is included in the Appendix.

Required:

Advise, showing all workings, how the financial assets should be accounted for in the year ended 30 September 20X9.

(22 marks)

Appendix

Equity investment

During the year ended 30 September 20X9, Gemini made an investment in Libra Ltd (Libra) asfollows:

	Number of shares purchased	**Cost per share**	**Transaction costs**
Libra	100,000	£4.50	£9,000

The investment represents a 5% holding of the total issued share capital of the company. The transaction cost has been recognised in the statement of profit or loss.

The purchase was made on 17 June 20X9. Libra is a supplier of Gemini and the purchase was madein the hope of ensuring continuity of the supply of products used in Gemini's manufacturing process.The directors of Gemini would like to recognise fair value gains and losses in other comprehensive income, if possible.

The investment was measured at the purchase cost of £450,000. No change has been made to the measurement of these shares since that date. The market price of Libra's shares at 30 September 20X9 is a bid-offer spread of £8-£8.10 each. A sales commission of 0.5% is normally charged by Gemini's broker on all share disposals.

Investment in debentures

Gemini purchased £500,000 par value of debentures on 1 October 20X7. The debentures will maturein 5 years' time at a premium of 10%. Gemini intends to hold the debentures until such time as Gemini requires the funds for an alternative purpose. An interest coupon of 5% of par value is paid on 30 September each year. Transaction costs of £2,000 were incurred on the purchase. The effective rate of interest on the debentures is 6.7%. The fair value of the debentures was £520,000 on 30 September 20X8 and £530,000 on 30 September 20X9.

Question 8

Impairment of financial assets - Gordon plc

You are the financial accountant of Gordon plc (Gordon) and are preparing the financial statements for the year ended 31 December 20X4 in accordance with IFRS Accounting Standards. Gordon does not invest in assets or provide financing as part of its main business activities. Any impairment loss is considered to be material and should be presented separately on the statement of profit or loss.

The finance director has requested that you account for the impairment of financial assets.

Information regarding the impairment of financial assets is included within the Appendix. Interest income and interest receipts have been accounted for correctly for the year ended 31 December 20X4.

Required:

1. Advise how the impairment of financial assets should be accounted for in Gordon's financial statements for the year ended 31 December 20X4.

(6 marks)

2. Prepare, showing all workings, any journal entries necessary to account for the impairment of financial assets in Gordon's financial statements for the year ended 31 December 20X4.

(13 marks)

Total marks (19 marks)

Appendix

Loan to Taylor Ltd

On 1 January 20X1, Gordon loaned £3,000,000 to Taylor Ltd (Taylor) on a 10-year loan agreement. The loan is classified as amortised cost. The terms of the agreement require Taylor to pay interest of 2% per annum on 31 December each year and pay £4,100,000 at the end of the loan.

The effective rate of interest is approximately 4.93% per annum.

At 31 December 20X3, the probability-weighted, 12-month expected credit losses were £75,000.

Taylor faced financial difficulties during 20X4 but paid interest on the due date. The directors of Gordon had assessed that there had been a significant increase in credit risk at 31 December 20X4.

At 31 December 20X4, it was estimated that the probability of default on the repayment of the principal was 80%. Following discussions with Taylor, it is expected that interest payments will continue to be made by Taylor but that only an estimated £2,000,000 will be recovered of the final balance due if there is a default.

Investment in debentures

On 1 January 20X2, Gordon acquired 6,000,000 £1 4% 20X7 debentures of Hawkins plc (Hawkins) at a discount of 20%. The investment in debentures is classified as amortised cost.

The effective rate of interest is approximately 8.38% per annum.

At 31 December 20X3, the probability-weighted, 12-month expected credit losses were £500,000.

On 31 December 20X4, Hawkins announced a suspension of interest payments. Interest was paid on 31 December 20X4. Hawkins expects to pay the principal amount in full on 31 December 20X7.

The directors of Gordon assess the debentures to be credit impaired at 31 December 20X4 and no further payments of interest are expected. The directors believe that the probability of default on the final principal is 25%, in which case they would expect to recover £3,000,000.

Question 9

Impairment of financial assets - Dara Ltd

You are the financial accountant of Dara Ltd (Dara). You are responsible for preparing Dara's financial statements for the year ended 31 December 20X2 in accordance with IFRS Accounting Standards. Dara does not invest in assets or provide financing as part of its main business activities.

You have to finalise the accounting for an investment in bonds which may be impaired. Relevant information is included in theAppendix.

Required:

Advise, providing supporting calculations, how the bonds should be accounted for in the year ended 31 December 20X2.

(22 marks)

Appendix

Dara acquired 1,000,000 £1 4% bonds 20X5 of Prado Ltd (Prado) on 1 January 20X2 at a discount of 20%. Interest of 4% is due annually in arrears and the principal is due to be repaid at par on 31 December 20X5. Dara intends to sell the bonds before maturity, provided it can achieve a predetermined rate of return. The effective rate of interest on the bonds is 10.4%. The bonds had a fair value of £875,000 at 31 December 20X2.

Dara recognised a loss allowance of £12,000 at 1 January 20X2. Prado's trading position deteriorated significantly during the year and it has already informed Dara that the interest due on 31 December 20X2 will not be paid.

The directors have determined the following:

Present value of expected cash flows	**Probability of default within 12 months**	**Probability of default over remaining term**
£700,000	10%	18%
£450,000	8%	12%
Nil	5%	5%

Question 10

Derecognition of inancial instruments - Patel plc

You are the finance director of Patel plc (Patel). One of the financial accountants is preparing Patel's financial statements for the year ended 31 January 20X8, in accordance with IFRS Accounting Standards. They are unsure how to account for the derecognition of financial assets. Relevant information is included in the Appendix. Patel does not invest in assets or provide financing as part of its main business activities.

Required:

Advise, showing all workings, on the accounting for the financial assets in the Appendix for the year ended 31 January 20X8.

(15 marks)

Appendix – Financial assets to be derecognised

Option

An option was entered into to purchase foreign currency in March 20X7. The option cost was £25,000, as well as transaction costs of £3,000, in March 20X7 and was accounted for correctly at that date. The option lapsed, unexercised, on 31 December 20X7 as it was out of the money.

The option was not entered into as part of a hedging relationship. The lapse of the option has not yet been accounted for.

Investment in shares of Qzee Ltd

110,000 £1 ordinary shares of Qzee Ltd (Qzee) were purchased several years ago. The investment represented approximately 2% of Qzee's ordinary shares. Patel acquired the shares as part of a long-term strategy and elected to measure the shares at fair value through other comprehensive income.

The entire shareholding was sold for £3.56 per share on 15 June 20X7; their fair value at that date, and selling costs, were £1,000. The fair value of the shares at 1 February 20X7 was £314,000 and amounts totalling £6,000 were accumulated in a FVTOCI revaluation reserve at that date. Net proceeds have been recorded in other operating income.

Investment in shares of Octagon plc

On 12 December 20X6, Patel acquired 450,000 shares in Octagon plc (Octagon) at a cost of £4.20 per share. Legal fees of £27,000 were incurred relating to the purchase. The investment represents less than 1% of Octagon's ordinary shares. Patel holds the investment for trading.

At 31 January 20X7, the market value of Octagon's shares was £5.85 per share.

On 28 January 20X8, Patel sold its holding in Octagon for £5 per share. Selling costs of £23,000 were incurred. The net proceeds received have been credited to a suspense account. No other entries have been made in respect of this transaction.

Investment in shares of Fury Ltd

Patel sold its shares in Fury Ltd (Fury), a private company, to a bank for £1,000,000 on 31 January 20X8. The shares are measured at fair value through profit or loss and had a fair value of £960,000 at31 January 20X8. Patel has a call option to repurchase the shares in 2 years' time at the sale price plus interest at 2% above SONIA. The bank has a similar put option.

Question 11

Financial liabilities - Esme plc

You are the financial controller of Esme plc (Esme). You are preparing Esme's financial statements for the year ended 31 December 20X3, in accordance with IFRS Accounting Standards. Esme does not invest in assets or provide financing as part of its main business activities.

You must finalise the accounting for financial liabilities. Esme does not elect to classify any financial liabilities as fair value through profit or loss. Relevant information is in the Appendix.

Required:

Advise, showing all workings, how to account for the financial liabilities in Esme's financial statements for the year ended 31 December 20X3.

(14 marks)

Appendix – Financial liabilities

Issued 6% bonds

On 1 January 20X3, Esme issued 2,000,000 £1 6% bonds 20X7 at a discount of 4% which was not classified as fair value through profit or loss. The bonds will berepaid at a premium of 8% on 31 December 20X7. Issue costs were £100,000. Interest is payable annually on 31 December. The effective rate of interest is approximately 9.67%.

Cash received from the issue has been recorded as bonds and classified as a non-current liability. Issue costs and interest paid have been recognised as an interest expense in the statement of profit or loss. No other accounting entries have been made at the year end.

Forward contract

On 1 February 20X3, Esme took out a speculative forward contract to buy cocoa beans for delivery on 30 April 20X4 at an agreed price of £160,000, intending to settle net in cash. Due to a surge in expected supply, a forward contract for delivery on 30 April 20X4 would have cost £150,000 on 31 December 20X3.

Existing 5.5% bonds

Esme issued 5,000,000 £1 5.5% bonds 20X7 on 1 January 20X2. The bonds must be redeemed on 31 December 20X7 at £1.05 each. The effective rate of interest on the bonds is approximately 6.38% per annum. The carrying amount of the bonds at 31 December 20X2 was £5,140,601. Interest was paid as it fell due on 31 December 20X3, based on the number of bonds outstanding on 15 December 20X3.

On 31 December 20X3, Esme redeemed 2,000,000 of the bonds for £1.02 each. Interest paid in the year and the amount paid on the redemption of the bonds have been recorded as an interest expense.

Question 12

Disclosures for financial instruments - Ruffle Ltd

You are the financial controller of Ruffle Ltd (Ruffle) and are responsible for preparing its financial statements, including associated disclosure notes, for the year ended 31 March 20X5. Ruffle does not invest in assets or provide financing as part of its main business activities.

Ruffle has the following financial instruments:

- Investments in the equity shares of other entities which are held for trading
- Loans made to two key customers, which are classified as measured at amortised cost
- 2,000,000 5% debentures 20X8

The directors have asked for your assistance in understanding the required disclosures in respect ofthe risks associated with financial instruments.

They have asked for you to explain, with reference to Ruffle's financial instruments, what is meant bythe following terms:

- Credit risk
- Liquidity risk
- Market risk

Required:

1. Explain why disclosures relating to risk are useful to the users of financial statements.

(2 marks)

2. Providing relevant examples, explain what is meant by each of the terms.

(6 marks)

Total marks (8 marks)